

FUND BALANCE

Loudoun County Public Schools recognizes that to maintain a responsible financial management system, it is aligned with the Governmental Accounting Standards. The purpose of this policy is to establish defined accounting protocols for reporting fund balance in alignment with Governmental Accounting Standards.

A. Fund type definitions. The following definitions will be used in reporting activity in governmental funds. The School Board may or may not report all fund types in any given reporting period, based on actual circumstances and activity.

1. *General fund* accounts for all financial resources not accounted for and reported in another fund.

2. *Special revenue funds* account for and report the proceeds of specific revenue sources that are restricted, committed, or assigned to expenditure for specific purposes other than debt service or capital projects.

3. *Debt service fund* accounts for all financial resources restricted, committed, or assigned to expenditure for principal and interest.

4. *Capital improvement fund* accounts for all financial resources restricted, committed, or assigned to expenditure for the acquisition or construction of capital assets.

5. *Capital asset preservation fund* accounts for all financial resources restricted, committed, or assigned to expenditure for the preservation of capital assets.

6. *Permanent funds* account for resources restricted to the extent that only earnings, and not principal, may be used for purposes that support School Board purposes.

B. Fund balance reporting in governmental funds. Fund balance will be reported in governmental funds under the following categories:

1. Nonspendable fund balance. Includes amounts that cannot be spent because they are either (a) not in spendable form or (b) legally or contractually required to be maintained intact.

2. Restricted fund balance. Includes amounts that can be spent only for the specific purposes stipulated by the constitution, external resource providers, or through enabling legislation.

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3. Committed fund balance. Includes amounts that can be used only for the specific purposes of capital improvements, capital asset preservation, and debt service or determined by a formal action of the School Board.

- a. Authority to Commit. The School Board delegates to the Superintendent or designee the authority to commit capital improvement, capital asset preservation, and debt service fund balances for their respective specific purposes. All other commitments will only be used for specific purposes pursuant to formal action of the School Board.

4. Assigned fund balance. Includes amounts intended to be used by the School Board for specific purposes, but do not meet the criteria to be classified as restricted or committed. In governmental funds other than the general fund, the assigned fund balance represents the remaining amount that is not restricted or committed.

- a. Authority to Assign. The School Board delegates to the Superintendent or designee the authority to assign amounts to be used for specific purposes. These assignments cannot exceed the available (spendable, unrestricted, uncommitted) fund balance in any particular fund.

5. Unassigned fund balance. Includes the residual classification for the School Board's general fund and includes all spendable amounts not contained in the other classifications. In other funds, the unassigned classification should be used only to report a deficit balance from overspending for specific purposes for which amounts had been restricted, committed, or assigned.

C. Classifying fund balance amounts. Fund balance classifications depict the nature of the net resources that are reported in a governmental fund. A particular governmental fund may include nonspendable resources and amounts that are restricted, committed, assigned, or any combination of those classifications. The general fund may also include an unassigned amount.

D. Encumbrance reporting. Encumbering amounts for specific purposes in which resources have already been restricted, committed, or assigned should not result in a separate display of encumbered amounts. Encumbered amounts for specific purposes in which amounts have not been previously restricted, committed, or assigned, will be classified as committed or assigned, as appropriate.

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E. Prioritization of fund balance use. When an expenditure is incurred for purposes in which both restricted and unrestricted (committed, assigned, or unassigned) amounts are available, it shall be the policy of the School Board to consider restricted amounts to be reduced first. When an expenditure is incurred for purposes in which amounts in any of the unrestricted fund balance classifications could be used, it shall be the policy of the School Board that committed amounts would be reduced first, followed by assigned amounts.

Adopted: 10/25/16

Confirmed: 4/20/22 (with technical changes)

Legal Ref: Code of Virginia, 1950, as amended, [§ 22.1-100](#)